

Lucent, Not Transparent

In mid-2000, Lucent Technologies Inc. was owned by more investors than any other U.S. stock. With a market capitalization of \$192.9 billion, it was the 12th-most-valuable company in America.

Was that giant valuation justified? Let's look at some basics from Lucent's financial report for the fiscal quarter ended June 30, 2000:[1](#)

FIGURE 17-1 Lucent Technologies Inc.

	For the quarter ended . . .	
	June 30, 2000	June 30, 1999
Income		
Revenues	8,713	7,403
Income (loss) from continuing operations	(14)	622
Income (loss) from discontinued operations	(287)	141
Net income	(301)	763
Assets		
Cash	710	1,495
Receivables	10,101	9,486
Goodwill	8,736	3,340*
Capitalized software development costs	576	412
Total assets	46,340	37,156

All numbers in millions of dollars. * Other assets, which includes goodwill.

Source: Lucent quarterly financial reports (Form 10-Q).

A closer reading of Lucent's report sets alarm bells jangling like an unanswered telephone switchboard:

- Lucent had just bought an optical equipment supplier, Chromatis Networks, for \$4.8 billion—of which \$4.2 billion was “goodwill” (or cost above book value). Chromatis had 150 employees, no customers, and zero revenues, so the term “goodwill” seems inadequate; perhaps “hope chest” is more accurate. If Chromatis's embryonic products did not work out, Lucent would have to reverse the goodwill and charge it off against future earnings.